Morgan Stanley | RESEARCH

UPDATE

October 20, 2026 12:23 PM GMT

Fuyao Glass Industry Group | Asia Pacific

3Q26 Missed; Volume Grew but ASP Slowed

AlphaSignals Earnings Reaction

Unchanged	Modest shortfall	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- We view FX loss and quality provision as one-off and thus non-event cost items.
- But we are concerned that ASP growth may slow down or that a trade-off between ASP and volume may be structural.

Operating profit fell YoY: Fuyao's 3Q26 earnings fell 10% YoY, to Rmb2.0bn, mainly because of:

- Higher selling cost, up 27% YoY, to Rmb406mn: A quality-related provision of Rmb78mn should be fully covered by insurance in 4Q26, per company guidance.
- Continued FX headwind: Rmb264mn loss in 3Q26, vs. Rmb120mn loss in 3Q25.

Fuyao's 3Q26 operating profit (excluding FX impact) fell 2% YoY, the first decline in the past three years, slightly below market expectations.

Volume stronger yet ASP weaker in 3Q26: Fuyao's 3Q26 revenue grew 3% YoY, similar to the single-digit growth in 1Q/2Q26, but with different volume/ASP mix. Management guided that ASP growth in 3Q26 slowed to 3.9% or 6.4% YoY excluding FX (vs. 8.7% YoY ASP growth in 1H26). This implies that auto glass volume in 3Q26 was back to YoY growth (vs. 3.4% YoY volume decline in 1H26).

Earnings call at 10 AM HKT on 21 October: Key focus areas include:

- Further details on 3Q26 volume, ASP, and rebates;
- Status of aftermarket glass recovery;
- 4Q26 and 2027 auto volume outlook.

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Fuyao Glass Industry Group (3606.HK, 3606 HK)

China Autos & Shared Mobility | China

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	HK$53.50
Up/downside to price target (%)	(3)
Shr price, close (Oct 20, 2026)	HK$55.35
52-Week Range	HK$72.50-47.70
Sh out, dil, curr (mn)	607
Mkt cap, curr (mn)	Rmb139,254.8
EV, curr (mn)	Rmb132,976.1
Avg daily trading value (mn)	HK$156

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	3.57	3.51	4.43	5.17
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	3.66	3.71	4.43	5.09
Revenue, net (Rmb mn)	45,787.4	47,896.2	55,256.1	63,153.3
EBITDA (Rmb mn)	13,164.4	14,191.9	16,805.2	19,186.1
ModelWare net inc (Rmb mn)	9,312.3	9,157.7	11,559.5	13,491.7
P/E	16.9	13.4	10.6	9.1
P/BV	4.2	3.0	2.7	2.4
RNOA (%)	25.3	26.1	29.2	31.6
ROE (%)	26.1	24.4	28.0	29.3
EV/EBITDA	12.2	9.3	7.7	6.6
Div yld (%)	3.5	4.4	5.5	6.5
FCF yld ratio (%)**	5.1	5.4	7.2	8.8
Leverage (EOP) (%)	(21.2)	(22.2)	(24.2)	(27.2)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Exhibit 1: Fuyao Glass – 3Q/9M26 results summary

Fuyao (Rmb mn)	3Q25	2Q26	3Q26	3Q YoY	3Q QoQ	9M25	9M26	YoY
Revenue	11,855	11,558	12,152	*3%*	*5%*	33,302	34,123	*2%*
Gross profit	4,493	4,642	4,623	*3%*	*0%*	12,442	13,157	*6%*
Operating profit	2,677	2,845	2,631	*-2%*	*-8%*	7,421	7,655	*3%*
Net profit	2,259	2,259	2,036	*-10%*	*-10%*	7,064	6,006	*-15%*
Recurring net profit	2,215	2,236	2,000	*-10%*	*-11%*	6,922	5,879	*-15%*
EPS (Rmb)	0.87	0.86	0.78	*-10%*	*-9%*	2.71	2.30	*-15%*
Gross margin	37.9%	40.2%	38.0%	*0.1%*	*-2.1%*	37.4%	38.6%	*1.2%*
Operating margin	22.6%	24.6%	21.7%	*-0.9%*	*-3.0%*	22.3%	22.4%	*0.2%*
Net margin	19.1%	19.5%	16.8%	*-2.3%*	*-2.8%*	21.2%	17.6%	*-3.6%*

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Fuyao Glass Industry Group (3606.HK)

Base case, with HK$1.12/RMB FX rate assumed for A-share base case price target plus five-year average valuation discount of 15% given different investor profiles. Our A-share PT is derived from DCF valuation; key assumptions include a 13% WACC (15.3% cost of equity and 6.3% cost of debt), an 8% medium-term growth rate, and a 3% terminal growth rate.

Risks to Upside

- Higher-than-expected China auto sales growth
- Acceleration in US/EU market share gains
- End to geopolitical tensions

Risks to Downside

- Larger-than-expected slowdown in China auto sales
- Delay in its US plant ramp-up
- Increase in energy/materials costs

Fuyao Glass Industry Group (600660.SS)

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(as of September 30, 2026)

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Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

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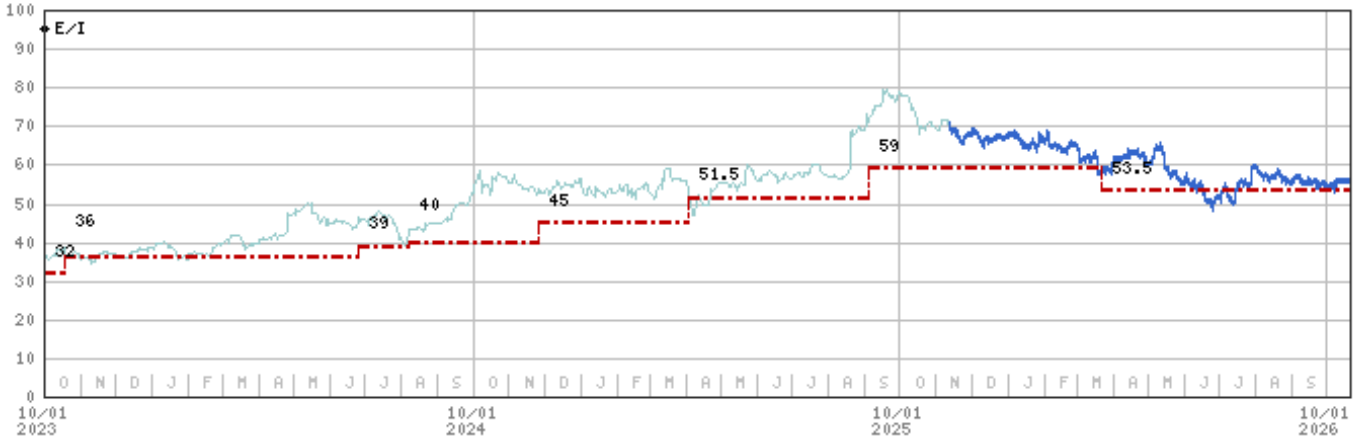
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Fuyao Glass Industry Group (3606.HK) - As of 10/20/26 GMT in HKD
Industry : China Autos & Shared Mobility



Stock Rating History: 10/1/21 : E/A; 8/25/22 : E/I

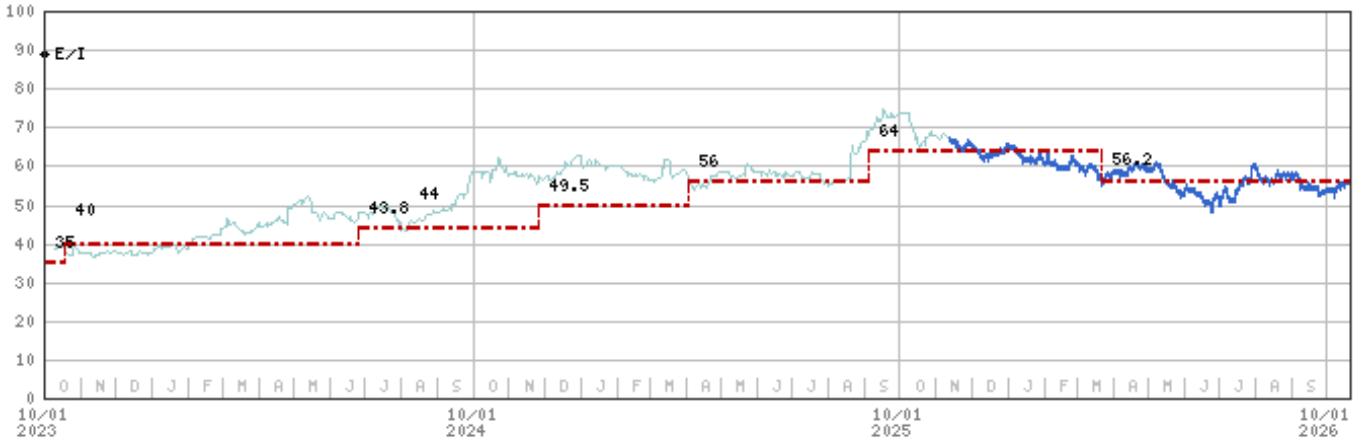
Price Target History: 1/15/21 : 46; 3/21/22 : 31; 8/25/22 : 32; 10/18/23 : 36; 6/25/24 : 39; 8/8/24 : 40; 11/27/24 : 45; 4/3/25 : 51.5; 9/4/25 : 59; 3/23/26 : 53.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -·- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬
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Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Fuyao Glass Industry Group (600660.SS) - As of 10/20/26 GMT in CNY
Industry : China Autos & Shared Mobility



Stock Rating History: 10/1/21 : E/A; 8/25/22 : E/I

Price Target History: 1/15/21 : 52; 3/21/22 : 34; 8/25/22 : 35; 10/18/23 : 40; 6/25/24 : 43.8; 8/8/24 : 44; 11/27/24 : 49.5; 4/3/25 : 56; 9/4/25 : 64; 3/23/26 : 56.2

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -·- No Price Target Assigned (NA)
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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/20/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb21.53
BAIC Motor (1958.HK)	E (10/02/2025)	HK$0.72
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK$1.83
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.07
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb4.95
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK$2.09
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb15.43
Jiangsu Changshu Automotive Trim Group (603035.SS)	U (09/01/2026)	Rmb10.14
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb18.00
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.73
Voyah Automotive Technology Co. Ltd, (7489.HK)	O (03/31/2026)	HK$1.63
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb28.68
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb53.76
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb26.46
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb69.26
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK$0.34
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK$0.73
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb24.86
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb55.25
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK$55.35
Hesai Group (HSAI.O)	O (07/28/2025)	US$12.92
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb76.62
Keboda (603786.SS)	O (01/17/2024)	Rmb37.25
Minth Group Limited (0425.HK)	O (08/24/2015)	HK$23.14
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.12
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK$4.41
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb21.24
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb42.16
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb10.90
RoboSense Technology Co Ltd (2498.HK)	O (10/12/2026)	HK$15.36
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb45.42
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK$11.47
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb33.03
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK$2.40
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.35
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb82.60
BYD Company Limited (1211.HK)	O (04/14/2025)	HK$73.65
EHang Holdings Ltd (EH.O)	E (09/15/2026)	US$3.55
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK$14.94
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb14.22
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK$7.09
Horizon Robotics (9660.HK)	O (12/02/2024)	HK$3.77
Li Auto Inc. (LI.O)	O (08/24/2020)	US$11.29
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK$45.64
NIO Inc. (9866.HK)	O (10/03/2022)	HK$26.44
NIO Inc. (NIO.N)	O (08/26/2020)	US$3.39
WeRide Inc (WRD.O)	O (11/19/2024)	US$4.20
XPeng Inc. (9868.HK)	O (11/16/2021)	HK$37.60
XPeng Inc. (XPEV.N)	O (01/29/2021)	US$9.21

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* Historical prices are not split adjusted.

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